

Producer Manual Excerpt — Binding Authority

Producer Manual Excerpt — Personal Auto Binding Authority

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Audience: Appointed agents and producers

Effective: June 1, 2025

This is an excerpt covering binding authority only. The full Producer Manual also covers commissions, appointment requirements, and errors-and-omissions procedures, which are outside the scope of this corpus.

1. Binding Authority Overview

Appointed producers may bind new Personal Auto business and mid-term policy changes within the limits described in this excerpt, without prior underwriter approval, provided the risk meets the eligibility criteria in the Underwriting Guidelines.

2. What a Producer May Bind Without Referral

- New business meeting all standard eligibility criteria, with Liability limits up to \$300,000/\$500,000/\$100,000.
- Addition of a household driver with a clean driving record.
- Addition of the Roadside Assistance Endorsement, Additional Insured Endorsement, or Named Non-Owner Household Driver Endorsement.
- Increases to Collision or Comprehensive deductibles (which reduce premium and risk to the company).

3. What Requires Underwriter Referral Before Binding

- Any Liability limit above \$300,000/\$500,000/\$100,000.
- The Ride-share/TNC Endorsement, which requires the disclosure and hours confirmation described in Underwriting Guidelines Section 4.
- The Custom Equipment Endorsement for equipment valued over \$1,000, which requires the appraisal described in Underwriting Guidelines Section 4.

- Any risk with a household member who has more than two at-fault accidents or moving violations in the preceding 3 years.
- Reinstatement of a policy previously non-renewed or cancelled by Meridian Mutual.

4. Effective Dating of Bound Coverage

Coverage bound by a producer takes effect at the date and time specified on the binder, which becomes the effective date shown on the resulting Declarations page. A producer may not backdate a binder to a date before the binder was actually issued, even at a policyholder's request.

5. Relationship to Claims Adjudication

Binding authority governs how coverage comes into existence; it has no bearing on how a claim is adjudicated once coverage is in force. An adjuster should never decline or reduce a claim on the theory that a producer exceeded their binding authority when writing the policy — that is a separate underwriting-compliance matter, handled outside the claims process, and does not affect the insured's right to the coverage actually shown on their Declarations page.